

Candlestick Patterns

Bearish

- Hanging man
- Bearish spinning top
- Bear Flag
- Bear pennant
- Rising wedge up trend/ downtrend
- Bearish engulfing
- Flat top

Bullish

- Falling wedge uptrend/downtrend
- Flat bottom
- Hammer
- Bullish engulfing
- Bullish spinning top
- Bullish flag
- Bullish pennant

Flat top/bottom

What it is: layman's definition

A period of stagnation followed by a breakout of stock either bullish or bearish.

How to calculate:

The easiest way that I could see to do it would be to calculate least squares regression to determine if it is stagnant with the coefficient being $-.03 < a < .03$ validating goodness of fit with a

coefficient of determination. Later we could also calculate entry and exit points with a standard deviation calculation alongside a threshold

How to use:

This one isn't really all positive or all negative, it's just a indication of the market's uncertainty. Once the market decides though it decides quick though and rises/falls quickly.